Practice workbook · Updating the cash book from the bank statement

Entering items only the bank knew about and correcting cash book errors in the bank column, then rebalancing.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-CTL-12

1. Question 16 · part a · 7 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part a only.

16 On 30 April 2024, Nabil's bank statement showed a credit balance of $386
On the same date, his cash book showed a debit balance of $1 410

When comparing the cash book with the bank statement, Nabil found the following differences.

The following items appeared **only** on the bank statement.

- Standing order, $350, paid for rent.
- Bank interest, $28, received.
- Cheque, $110, received from Petra, had been dishonoured.
- Electronic transfer, $85, received from Bob.
- Bank charges, $35

The following items appeared **only** in the cash book.

- Cheque, $248, paid to Fatima.
- Cash sales, $890, banked.

(a) Prepare the updated cash book at 30 April 2024 and bring the balance down on 1 May 2024.

(7)

Cash Book – Bank Column Only

Date 2024	Details	$	Date 2024	Details	$

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1. Question 16 · part a · 7 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part a only.

(b) Prepare a bank reconciliation statement at 30 April 2024.

(4)

Bank Reconciliation Statement at 30 April 2024

	$
Balance as per cash book	

(c) Explain **two** benefits to a business of preparing a bank reconciliation statement.

(4)

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(Total for Question 16 = 15 marks)

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1. Question 16 · part a · 7 marks · Working and answer

Working and answer

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2. Question 18 · part c · 4 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

18 (a) State **two** benefits of using technology in accounting.

(2)

1 .....

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2 .....

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(b) Complete the table, indicating with a tick (✓) how **each** item would be classified when purchasing hardware.

(3)

Item	Capital expenditure	Revenue expenditure
Installation cost		
Delivery cost		
Consumables		

A trader received a bank statement on 31 March 2020 showing a credit balance of $791. On the same date the cash book showed a debit balance of $1210.

The following had not been entered in the cash book:

- a standing order for insurance, $345
- bank interest received, $15
- a dishonoured cheque from Jones, $265

(c) Update the cash book showing the adjusted balance at 31 March 2020.

(4)

Cash book – bank column

Date	Details	$	Date	Details	$

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2. Question 18 · part c · 4 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

The following had not yet been processed by the bank:

- unpresented cheques, $656
- outstanding lodgements, $480

(d) Prepare a bank reconciliation statement at 31 March 2020.

(6)

Bank reconciliation statement at 31 March 2020

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(Total for Question 18 = 15 marks)

2. Question 18 · part c · 4 marks · Working and answer

Working and answer

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3. Question 17 · part b.i · 5 marks

2023 NOV · Paper 01

Further practice · Attempt part b.i only.

17 (a) State **one** benefit of preparing a bank reconciliation statement.

(1)

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On 31 March 2023 Waan identified that the following transactions had not yet been entered in the cash book.

- Cash banked, $350
- Cheque to restore petty cash, $75
- Bank interest received, $8
- Standing order for rent, $300

(b) (i) Prepare the updated cash book on 31 March 2023 and bring the balance down on 1 April 2023.

(5)

Cash Book – Bank Column

Date 2023	Details	$	Date 2023	Details	$
March 31	Balance b/d	1 100			

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3. Question 17 · part b.i · 5 marks

2023 NOV · Paper 01

Further practice · Attempt part b.i only.

On 31 March 2023 Waan's bank statement showed a credit balance of $528

She identified that the following had not been processed by the bank.

- Unpresented cheques, $215
- Outstanding lodgements, $770

(ii) Prepare a bank reconciliation statement at 31 March 2023.

(5)

Waan
Bank Reconciliation Statement at 31 March 2023

	$
Updated cash book balance	

(c) State **two** characteristics of **each** method of payment.

(i) Standing order

(2)

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(ii) Direct debit

(2)

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(Total for Question 17 = 15 marks)

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3. Question 17 · part b.i · 5 marks · Working and answer

Working and answer

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4. Question 14 · part a · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

14 On 30 April 2019 Sanit received his bank statement, which showed a debit balance of $600. On the same day his cash book showed a credit balance of $1 358.

After checking the cash book against the bank statement, he identified the following errors and omissions.

- Bank charges of $32 had not been entered in the cash book.
- A direct debit for $165 for insurance had not been entered in the cash book.
- A credit transfer for $410 from Kamil had been entered in error on the wrong side of the cash book.
- A cheque paid to a supplier for $315 had not yet been presented for payment.
- Money deposited in the bank, $180, was not on the bank statement.

(a) Prepare an updated cash book at 30 April 2019. Balance the cash book on that date and bring the balance down on 1 May 2019.

(5)

Cash Book (bank column)

Date 2019	Details	$	Date 2019	Details	$

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4. Question 14 · part a · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

(b) Prepare a bank reconciliation statement at 30 April 2019.

(6)

Sanit

Bank reconciliation statement at 30 April 2019

(c) Define the terms:

(i) standing order

(2)

(ii) direct debit.

(2)

(Total for Question 14 = 15 marks)

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4. Question 14 · part a · 5 marks · Working and answer

Working and answer

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5. Question 18 · part a · 5 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

18 On 31 January 2022 Karmele's bank statement balance did not agree with her cash book balance.

She identified that the following items on the bank statement had not been entered in the cash book.

Date 2022	Details	$
Jan 19	Direct debit – Vertigo	75
27	Credit transfer – Jacques	260
29	Customer dishonoured cheque – Booth	110

(a) Prepare the cash book to show the updated balance on 31 January 2022, bringing the balance down on 1 February 2022.

(5)

Cash Book - Bank Column

Date 2022	Details	$	Date 2022	Details	$
			Jan 31	Balance b/d	1 580

Karmele identified that the following items in the cash book had not yet appeared on the bank statement.

Date 2022	Details	$
Jan 28	Cheque payment 483240	66
30	Cheque payment 483241	350
31	Cash sales banked	185

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5. Question 18 · part a · 5 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

(b) Prepare a bank reconciliation statement at 31 January 2022.

(5)

Bank reconciliation statement at 31 January 2022

	$	$
Balance per updated cash book		

(c) Explain to a business the advantages of preparing a bank reconciliation statement.

(5)

(Total for Question 18 = 15 marks)

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5. Question 18 · part a · 5 marks · Working and answer

Working and answer

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6. Question 16 · part b.i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part b.i only.

16 (a) State **two** advantages of preparing a bank reconciliation statement.

(2)

1 .....

2 .....

On 28 February 2022 Nabil's bank statement showed a credit balance of $135
On the same date the cash book showed a credit balance of $180

The following had not been entered in the cash book:

- a direct debit for telephone, $42
- a dishonoured cheque from Barjey Ltd, $668
- a credit transfer from BX Trading, $475
- cash sales banked, $295
- cheque drawn for cash, $120

(b) (i) Prepare the updated cash book to show the adjusted balance on 28 February 2022, bringing the balance down on 1 March 2022.

(6)

Cash Book - Bank Column

Date 2022	Details	$	Date 2022	Details	$
Feb 28			Feb 28		

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6. Question 16 · part b.i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part b.i only.

At 28 February 2022 the following had not yet been processed by the bank:

- unpresented cheques, $562
- outstanding lodgements, $187

(ii) Prepare a bank reconciliation statement at 28 February 2022.

(6)

Bank reconciliation statement at 28 February 2022

	$

(c) State in which section of the statement of financial position at 28 February 2022 the bank balance would appear.

(1)

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(Total for Question 16 = 15 marks)

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6. Question 16 · part b.i · 6 marks · Working and answer

Working and answer

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7. Question 18 · part a · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part a only.

18 On 30 September 2022 the bank column of Sam's cash book showed a balance of $2 640 Dr which did not agree with his bank statement balance of $4 079 Cr on the same date.

He discovered the following differences.

- A direct debit, $148, had been entered in the cash book as $184 and bank charges, $182, had not been entered in the cash book.
- A cheque received, $260, and cheques issued totalling $1 845 had been entered in the cash book but had not yet been processed by the bank

(a) Calculate the updated bank balance in Sam's cash book at 30 September 2022.

(3)

(b) Prepare the bank reconciliation statement at 30 September 2022.

(5)

Sam
Bank reconciliation statement at 30 September 2022

	$
Updated bank balance per cash book	

(c) State **two** features of a direct debit.

(2)

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7. Question 18 · part a · 3 marks · Working and answer

Working and answer

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8. Question 17 · part a · 5 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

17 At the close of business on 31 March 2024 the business bank account of Numan showed a debit balance of $3 145.53

On the same date he received a bank statement that showed a credit balance of $1 862.93

On investigation he identified the following reasons for the difference.

- Bank charges, $84, had not been recorded in the cash book.
- The bookkeeper had overcast the total of the debit entries in the cash book by $360
- The bank statement included a direct debit, $750, for rent that had not been recorded in the cash book.
- Cash takings, $1 234, banked on 31 March 2024, had not yet appeared on the bank statement.
- Two cheques sent to suppliers during March 2024 had not yet been presented for payment:
  - Cheque No: 110 Hope $321.95
  - Cheque No: 119 Crosbie $823.45

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8. Question 17 · part a · 5 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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(a) Prepare the updated cash book at 31 March 2024 and bring the balance down on 1 April 2024.

(5)

Cash Book – Bank Column Only

Date	Details	$	Date	Details	$

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(b) Prepare a bank reconciliation statement at 31 March 2024.

(5)

Bank Reconciliation Statement at 31 March 2024

	$
Balance as per cash book	

8. Question 17 · part a · 5 marks · Working and answer

Working and answer

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9. Question 14 · part e · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

14 (a) State **two** purposes of maintaining a petty cash book.

(2)

1 .....

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2 .....

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Rita maintains a full set of accounting records including a petty cash book which has a float of $200

On 1 March 2024, the balance of the petty cash book was $155. On that day the float was restored.

(b) State the double entry for the transaction on 1 March 2024.

(4)

Account to be debited	$	Account to be credited	$

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9. Question 14 · part e · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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On 1 March 2024, the balance on the travel expenses account was $80

During the month of March 2024, petty cash payments for travel totalled $40

(c) Prepare the travel expenses account for the month of March 2024. Balance the account on 31 March 2024 and bring the balance down on 1 April 2024.

(3)

Travel Expenses Account

Date	Details	$	Date	Details	$

On 31 March 2024, the total amount of cash in the petty cash box did not match the balance of the petty cash book.

(d) State **one** reason why this might have been the case.

(1)

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9. Question 14 · part e · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

On 31 March 2024, the main cash book was balanced and showed balances of:

- cash $360
- bank $4600 (Cr).

Rita checked the bank balance with that shown on her online bank account which showed a different balance.

Rita identified the following transactions which she believed may have contributed to the difference.

- A receipt, $320 from Volter, a credit customer, had been paid directly into her bank account.
- The bank had charged her its monthly management fee of $50
- The bank had made a regular direct debit payment for rent, $575
- The takings from the last day of the month, $3200, had not been processed by the bank.
- A cheque, $2300, received earlier in the month from Lo Traders, had been dishonoured by the bank.

(e) Prepare the updated bank account at 31 March 2024. Balance the account on this date and bring the balance down on 1 April 2024.

(5)

Bank Account

Date	Details	$	Date	Details	$
Mar 31			Mar 31		

(Total for Question 14 = 15 marks)

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9. Question 14 · part e · 5 marks · Working and answer

Working and answer

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10. Question 16 · part a · 6 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

16 Abdus, a sole trader, maintains a full set of accounting records.

On 31 January 2025, Abdus received his bank statement, which showed a debit balance of $760. On the same day, his cash book showed a debit balance of $512

After checking the cash book against the bank statement, Abdus identified the following errors and omissions.

- A direct debit, $1 200, for rent had not been entered in the cash book.
- Bank interest received, $72, had not been entered in the cash book.
- A credit transfer, $118, from Rachel had been entered on the wrong side of the cash book.
- The total credit entries in the cash book had been undercast by $100
- A cheque received from Samuel, a credit customer, $185, had been dishonoured.
- Cash sales deposited in the bank, $235, did not appear on the bank statement.
- Cheque number 483480 payable to Pandur, $140, did not appear on the bank statement.

(a) Prepare an updated cash book at 31 January 2025. Balance the account at this date and bring the balance down on 1 February 2025.

(6)

Cash Book – Bank Column

Date 2025	Details	$	Date 2025	Details	$
January 31	Balance b/d	512	January 31		

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10. Question 16 · part a · 6 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

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(b) Prepare a bank reconciliation statement at 31 January 2025.

(4)

Bank Reconciliation Statement at 31 January 2025

Balance as per cash book	

(c) Define the term **'direct debit'**.

(1)

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Abdus also maintains a petty cash book with an imprest of $200.

At 31 January 2025, the subtotals of receipts and payments for the month of January 2025 had been entered in the petty cash book.

(d) Balance the petty cash book on 31 January 2025. Bring down the balance on 1 February 2025 and restore the imprest amount from the bank on that date.

(4)

Petty Cash Book

Total receipts	Date 2025	Details	Total payments
200.00	January 31	Subtotals	136.80

(Total for Question 16 = 15 marks)

10. Question 16 · part a · 6 marks · Working and answer

Working and answer

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11. Question 16 · part a · 8 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

16 (a) Identify, indicating with a tick (✓), whether **each** item would be entered on the debit side or the credit side of a cash book.

(8)

	Debit side	Credit side
Bank charges		
Cash drawings by owner		
Customer cheque dishonoured		
Electricity paid by direct debit		
Electronic receipt from a credit customer		
Interest charged on overdraft		
Interest received		
Refund from a supplier by cheque		

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11. Question 16 · part a · 8 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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On 28 February 2025, Malla's cash book showed a balance of $3 200 (Dr).

On the same date, he downloaded a copy of his bank statement which showed a balance of $2 215 (Cr).

The bank advised him that a cheque received from FG Holdings, $340, had been returned by the bank unpaid.

He identified the following transactions that had not yet been processed by the bank:

- the takings from the last day of the month, $1 750
- two cheques issued during the month had not yet been presented to the bank for payment:
  - AB Supplies $430
  - TW Engineers $675

(b) Prepare a bank reconciliation statement at 28 February 2025.

(5)

Malla

Bank Reconciliation Statement at 28 February 2025

	$
Balance as per cash book	

(c) State **two** reasons why a bank may refuse to pay a cheque received.

(2)

1 .....

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2 .....

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(Total for Question 16 = 15 marks)

11. Question 16 · part a · 8 marks · Working and answer

Working and answer

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